Foreign Exchange:

How Currency Rates Work

Grade 5 Financial Literacy
Understanding Money Around the World

1. What Is Foreign Exchange?

Foreign exchange means changing one country's money for another country's money. People do this when they travel abroad, when businesses trade with other countries, or when they buy things online from other places!

2. Why Do Currency Rates Change?

- Supply and demand affect prices
- A strong economy boosts currency value
- News and events cause changes
- When more people want a currency, its rate goes higher

3. How Currency Rates Affect Us

Currency rates touch our everyday lives in many surprising ways! They affect what we buy, where we travel, and how we connect with loved ones.

- Buying toys and games from other countries
- Traveling abroad and sending money to family

4. How Does Currency Exchange Work?

- Step 1: Choose your currency to exchange
- Step 2: Check the current exchange rate
- Step 3: Visit a bank or exchange center
- Step 4: Use your new money to buy things!

5. How to Read Currency Rates

When you see **USD 1 = INR 75**, it means one US Dollar is worth seventy-five Indian Rupees. This tells us how many Rupees we need to buy one Dollar.

Remember: Higher rate means the Dollar is stronger. Lower rate means the Rupee is stronger.

6. Currency Exchange When Traveling

Imagine going on a trip abroad! Before you travel, you exchange your Indian Rupees for foreign money. At the airport or exchange center, you give your INR and get dollars, euros, or other currencies. Then you can use that money to buy yummy snacks and fun souvenirs!

7. How Currency Rates Affect Prices

When currency rates change, prices of things from other countries can become more expensive or cheaper for us to buy!

Example: A toy that costs INR 1000 might be the same as a USD 20 toy. If the rate changes, that same toy could suddenly cost more or less in Rupees!

Fun Fact: There are over 180 different currencies used around the world today, from the Japanese Yen to the Mexican Peso!

Quiz Time!

20 Multiple Choice Questions — Circle the best answer

1. What does "foreign exchange" mean?

A) Playing a foreign sport
B) Changing one country's money for another's
C) Learning a foreign language
D) Visiting a foreign school

2. Why might a business need to exchange currency?

A) To trade with other countries
B) To paint its office
C) To hire more teachers
D) To change its logo

3. Which of these is NOT a reason people exchange currency?

A) Traveling abroad
B) Buying things online from other countries
C) Watching a movie at home
D) Businesses trading internationally

4. What can cause currency rates to change?

A) Supply and demand
B) The color of the money
C) The size of the coins
D) How old the money is

5. A strong economy usually does what to a currency's value?

A) Makes it disappear
B) Boosts its value
C) Turns it into coins only
D) Has no effect at all

6. If more people want a certain currency, what usually happens to its rate?

A) It disappears
B) It stays exactly the same forever
C) It goes higher
D) It becomes illegal

7. Can news and events cause currency rates to change?

A) Yes
B) No
C) Only on weekends
D) Only in winter

8. Which everyday activity can currency rates affect?

A) Buying toys and games from other countries
B) Tying your shoelaces
C) Brushing your teeth
D) Riding a bicycle

9. Currency rates can affect how families do what?

A) Cook dinner
B) Send money to family abroad
C) Choose a pet
D) Pick a movie

10. What is Step 1 in exchanging currency?

A) Use your new money
B) Choose your currency to exchange
C) Visit a bank
D) Check the rate

11. What should you check before exchanging money?

A) The weather
B) The current exchange rate
C) The time zone
D) The bank's paint color

12. Where can you go to exchange currency?

A) A bank or exchange center
B) A shoe store
C) A movie theater
D) A library

13. What is the last step after getting your new currency?

A) Throw it away
B) Use it to buy things
C) Bury it
D) Trade it back immediately

14. If USD 1 = INR 75, how many Rupees do you need to buy 1 US Dollar?

A) 1
B) 75
C) 750
D) 7.5

15. A higher exchange rate for the Dollar (compared to Rupee) means:

A) The Dollar is weaker
B) The Dollar is stronger
C) The Rupee doesn't exist
D) Nothing changes

16. A lower exchange rate means the Rupee is:

A) Weaker
B) Stronger
C) The same as gold
D) Not real money

17. Before traveling abroad, what do you usually do with your money?

A) Hide it at home
B) Exchange it for foreign currency
C) Give it away
D) Bury it in the yard

18. After exchanging money at the airport, what might you use it for?

A) Buying snacks and souvenirs
B) Watering plants
C) Paying for school
D) Fixing a car

19. If a toy costs INR 1000 and this equals USD 20, what does this show us?

A) Toys are free
B) How currencies compare in value
C) The toy is broken
D) Toys are only sold in India

20. When exchange rates change, prices of foreign goods can become:

A) More expensive or cheaper
B) Always free
C) Illegal to buy
D) Impossible to find

Answer Key

1. B
2. A
3. C
4. A
5. B
6. C
7. A
8. A
9. B
10. B
11. B
12. A
13. B
14. B
15. B
16. A
17. B
18. A
19. B
20. A